EXPORT DEVELOPMENT CANADA

# LOCAL TO GLOBAL

QUARTERLY FINANCIAL REPORT SEPTEMBER 30, 2025 | UNAUDITED

EDC
TAKE ON THE WORLD

Canada

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**Caution regarding forward-looking statements**
This document contains projections and other forward-looking statements regarding future events. Such statements require us to make assumptions and are subject to inherent risks and uncertainties. These may cause actual results to differ materially from expectations expressed in the forward-looking statements.

EDC

# OVERVIEW

Export Development Canada (EDC) is a Crown corporation dedicated to helping Canadian companies of all sizes succeed in global markets. We're Canada's export credit agency and a member of the Government of Canada's international trade portfolio, with offices and representations across Canada and around the world. Since 1944, we've equipped Canadian companies with the tools they need—the trade knowledge, connections and financial solutions, including loans, equity and insurance—to grow their business with confidence. Underlying our support is a commitment to sustainable, responsible and inclusive business, aimed at strengthening the way trade serves society and our planet.

## Economic Environment

In the third quarter, the global economic uncertainty began to ease marginally as the U.S. administration's pause on country-specific tariffs expired and levies came into effect. While agreements with major trading partners, including Japan and the European Union, helped mitigate some of the adverse effects, by the end of September 2025 the majority of the U.S.'s imports faced significantly higher tariff rates than at the start of the year. When coupled with sector specific tariffs, the effective U.S. tariff rate has risen sharply to more than 18%—the highest since the mid-1930s.

While Canada continues to face a lower effective tariff rate than many other major U.S. trading partners thanks to an exemption from duties for goods compliant with the Canada-United States-Mexico Agreement (CUSMA), tariffs for non-compliant products was raised by 10% to 35%. Additionally, key export sectors of the Canadian economy have been impacted by U.S. sectoral tariffs including motor vehicles and parts, copper products, steel and aluminum products.

At the same time the U.S. administration was continuing to increase the impact of tariffs as it expanded the list of products eligible for duties in September, Canadian exports of canola, seafood and pork were facing significant tariffs from China. The combination of these impacts has left Canadian merchandise exports through the first two-thirds of 2025 remaining essentially unchanged when compared to the same period in 2024. However, there has been a shift in the destinations of Canadian exports, with merchandise exports to the U.S. falling by more than 3% while merchandise exports to non-U.S. markets have increased by more than 12% for the first eight months of 2025 compared to last year.

With a tepid trade environment and slower domestic growth—due to consumer caution and a weakening labour market—the overall outlook for the Canadian economy in the third quarter was soft. The growing concerns about the outlook led the Bank of Canada to cut interest rates for the first time since March, reducing its benchmark rate to 2.5%. Even with the cut in interest rates and tariff concerns hitting the Canadian outlook, the Canadian dollar averaged U.S.$0.73 for the third quarter of 2025, up a penny from the second quarter average and the strongest level the Canadian dollar has averaged since the third quarter of 2024.

In the U.S. economy, importers and companies have so far been absorbing the impact and costs associated with higher tariffs. This has kept inflation in check and stabilized demand, even as business and consumer confidence remains weak. The U.S. labour market has shown signs of strain as new job creation fell sharply in the third quarter. The delayed reporting of macroeconomic data, coupled with the U.S. government shutdown, has halted the flow of key data releases related to September 2025.

In Europe, renewed borrowing and investment in defense and infrastructure are providing some economic stability, especially for Germany which has started to develop and implement its borrowing plan. Political instability in France — including the resignation of Prime Minister François Bayrou in September—has undermined investor confidence and complicated fiscal planning.

In China, domestic weakness continued into the second half of the year. While tariff challenges with the U.S. eased compared to earlier in the year, the lingering tensions have resulted in the country shifting its exports towards other countries. The government also made tentative acknowledgments that over capacity may be occurring in some segments of the economy but hasn't yet forced these sectors to adjust production—prolonging the drag on the economy and the deflationary pressure on producer prices.

## Macroeconomic Outlook

Our expected credit loss impairment model uses forward-looking information determined from reasonable and supportable forecasts of future economic conditions as at the reporting date. Our forecasts are updated quarterly, and the impact of the update is reflected in the expected credit losses for the period.

The weighted outlook is stable compared to the end of Q2 2025. While the policy uncertainty and U.S. sectoral tariffs continue to have weighed on the outlook, the ability of Canadian exporters to ship a significant proportion of goods to the U.S. tariff free if they are CUSMA compliant continues to moderate the impact of the headline tariff rate.

In our baseline forecast, we assume that tariffs will apply to Canada until the end of 2026 with the CUSMA compliance providing a tariff free path for exporters. U.S. sectoral tariffs and impacts to the global economy from other tariffs and slowing demand hinders the outlook for Canadian growth. We forecast the Canadian economy will experience a recession in 2025—with a forecast of 0.9% growth—before a modest recovery of 1.0% in 2026. The reversal of many counter-tariff moves, and relatively stable inflation underpinning, give the Bank of Canada room to pull interest rates down two more times in 2025, before pausing in 2026.

EDC's downside scenario sees a deep and prolonged global recession, affecting both developed and developing markets that begin in the fourth quarter of 2025.

EDC's upside scenario sees higher spending by consumers and businesses driving greater economic activity than in the baseline forecast, beginning in the fourth quarter of 2025.

Tariffs and U.S. trade policy uncertainty have led to ongoing economic uncertainty for both Canada and the global economy. We expect that these announcements, and any future tariff announcements, may have an impact on our operations and consolidated financial statements. The timing, duration and size of those impacts is not possible to forecast at this time.

## Risk Management

Our business activities expose us to a wide variety of risks including strategic, financial and operational risks. We manage risk with a three lines of defence risk governance structure, which emphasizes and balances strong central oversight of risk with clear accountability for and ownership of risk. The structure governs EDC's risk appetite throughout the organization and provides forums for risks to be appropriately considered, discussed, debated and factored into business decisions at all levels and across all functions. This structure will allow us to continue to manage our business as risks evolve and as new risks emerge.

For a more comprehensive discussion on our risk management practices, please refer to pages 95-104 of our 2024 Integrated Annual Report. Refer to Note 10 of the accompanying financial statements for details on financial instrument risks.

## Impact of Foreign Exchange Translation on Financial Results

Our foreign currency-denominated results are impacted by exchange rate fluctuations. The Canadian dollar relative to the U.S. dollar strengthened in the third quarter of 2025, resulting in a rate of US$0.72 at the end of the quarter compared to US$0.70 at the end of 2024. The impact of the stronger dollar was a decrease to our assets and liabilities which are primarily denominated in U.S. dollars and are translated to Canadian dollars at rates prevailing at the statement of financial position date. The components of net income as well as our business facilitated are translated at the average exchange rates. The Canadian dollar averaged US$0.73 against the U.S. dollar in the third quarter of 2025 which was consistent with the average rate of the third quarter of 2024.

## Business Facilitated

Business facilitated for financing and investments increased $2.1 billion compared to the same period in 2024 mainly due to increases in direct lending, specifically in the finance and insurance and information industries. The decrease in business facilitated for project finance is primarily due to large exposures signed in 2024 in the resources and transportation and storage industries.

Business facilitated for credit insurance increased by $5.8 billion compared to the same period in 2024 mainly due to increased activity with several key exporters in the finance and insurance, wholesale and retail trade, and utilities industries, as well as foreign exchange translation as the majority of our policies are denominated in U.S. dollars.

| | For the nine months ended | |
|---|---|---|
| | **Sep** | Sep |
| *(in millions of Canadian dollars)* | **2025** | 2024 |
| Direct lending | **14,258** | 10,954 |
| Project finance | **1,982** | 2,931 |
| Loan guarantees | **2,693** | 2,980 |
| Investments | **738** | 682 |
| Total financing and investments | **19,671** | 17,547 |
| Credit insurance | **68,399** | 62,609 |
| Financial institutions insurance | **4,709** | 4,806 |
| International trade guarantee | **7,449** | 7,357 |
| Total insurance | **80,557** | 74,772 |
| Total | **$100,228** | $92,319 |

# SUMMARY OF FINANCIAL RESULTS

## Financial Performance

| *(in millions of Canadian dollars)* | For the three months ended<br>**Sep 2025** | <br>Sep 2024 | For the nine months ended<br>**Sep 2025** | <br>Sep 2024 | <br>Sep 2025 Corporate Plan |
|---|---|---|---|---|---|
| Net financing and investment income | **278** | 257 | **815** | 887 | 915 |
| Net loan guarantee income | **22** | 21 | **71** | 64 | 69 |
| Net insurance service revenue[1] | **74** | 77 | **224** | 232 | 249 |
| Net realized gains (losses)[2] | **(59)** | 60 | **(4)** | (4) | 34 |
| Net revenue | **315** | 415 | **1,106** | 1,179 | 1,267 |
| Administrative expenses | **144** | 131 | **429** | 407 | 464 |
| Net insurance service expenses[1] | **16** | 37 | **125** | 138 | 185 |
| Provision for (reversal of) credit losses | **(15)** | 158 | **150** | 575 | 268 |
| Income before net unrealized (gains) losses | **170** | 89 | **402** | 59 | 350 |
| Net unrealized (gains) losses on financial instruments[2] | **(34)** | 126 | **317** | (203) | - |
| Net income (loss) | **204** | (37) | **85** | 262 | 350 |
| Other comprehensive income | **106** | 32 | **109** | 161 | 9 |
| Comprehensive income (loss) | **$310** | $(5) | **$194** | $423 | $359 |

[1] *Included in Net Insurance Service Result on the Condensed Consolidated Statement of Comprehensive Income.*
[2] *Included in Other (Income) Expenses on the Condensed Consolidated Statement of Comprehensive Income.*

### Quarter Highlights

We had **net income** of $204 million in the third quarter of 2025 compared to a net loss of $37 million for the same period in 2024 primarily due to a reversal of provision for credit losses and lower net losses in our equity investments program.

**Net realized losses** of $59 million in the third quarter of 2025 compared to net realized gains of $60 million in the same period in the prior year were primarily due to the crystallization of previously recorded net unrealized losses within our fund investments portfolio. These net losses were partially offset by distributions of net gains from fund investments.

The **reversal of credit losses** of $15 million in the third quarter of 2025 is mainly due to the impact of net loan repayments and net upward credit migration in the performing portfolio, partially offset by higher impaired provision rates and the updated macroeconomic outlook. The charge for the same period in 2024 was primarily due to new originations, the updated macroeconomic outlook and net downward credit migration, partially offset by loan repayments and maturities.

**Net unrealized gains** of $34 million in the third quarter of 2025 compared to net unrealized losses of $126 million in the same period in the prior year were primarily due to the reversal of previously recorded net unrealized losses in our equity investment portfolio as a result of the losses being realized in the quarter. These net gains were partially offset by net unrealized losses stemming from weak performance in a few of our direct investments.

We recorded **other comprehensive income** of $106 million in the third quarter of 2025 mainly due to positive returns on pension plan assets and an increase in the discount rate used to measure the pension obligations.

## Year to Date Highlights

We had **net income** for the first nine months of 2025 of $85 million compared to net income of $262 million for the same period in 2024 mainly due to net unrealized losses on our financial instruments carried at fair value and a decrease in net financing and investment income, partially offset by a decrease in our provision for credit losses.

**Net financing and investment income** decreased by $72 million when compared with 2024. This was mainly due to an increase in interest expense associated with funding the 2024 share repurchase, an increase in financing-related expenses as a result of the reclassification of investment management fees from net unrealized (gains) losses on financial instruments on a prospective basis, and other expenses related to our fund investments portfolio.

We recorded a **provision for credit losses** of $150 million in the first nine months of 2025 compared to $575 million in the same period last year. The provision for credit losses in 2025 was primarily due to new impairments, primarily in the manufacturing industry, changes to impaired provision rates and the impact of the updated macroeconomic outlook, partially offset by net loan repayments. The provision for credit losses in 2024 was primarily due to a new impairment in the utilities industry partially offset by net loan repayments and maturities and net upward credit migration in our performing portfolio.

**Net unrealized losses** of $317 million in 2025 compared to net unrealized gains of $203 million in the same period were mainly due to the volatility associated with our financial instruments carried at fair value through profit or loss, primarily within our treasury portfolio.

The primary variances observed when comparing the Corporate Plan to actual results for the first nine months of 2025 are outlined below:

- **Net income** of $85 million in the first nine months of 2025 compared to net income of $350 million in the Corporate Plan is primarily due to **net unrealized losses** on our financial instruments carried at fair value. Due to the volatility and difficulty in estimating fair value gains and losses, a forecast is not included in the Corporate Plan;
- The decrease in **net financing and investment income** is primarily due to a reduction in interest earning assets as gross loans receivable are lower than expected in the Corporate Plan as well as the reclassification of investment management fees as previously discussed;
- **Net realized losses** as opposed to net realized gains in the Corporate Plan mainly due to losses within our equity investments portfolio partially offset by gains in our treasury portfolio, a forecast for which is not included in the Plan due to the volatility and difficulty in estimating them; and
- The reduction in **administrative expenses** is primarily due to timing and an ongoing commitment to operational efficiencies.

## Provision for (Reversal of) Credit Losses by Industry

Activity within the provision for (reversal of) credit losses during the third quarter by industry was as follows:

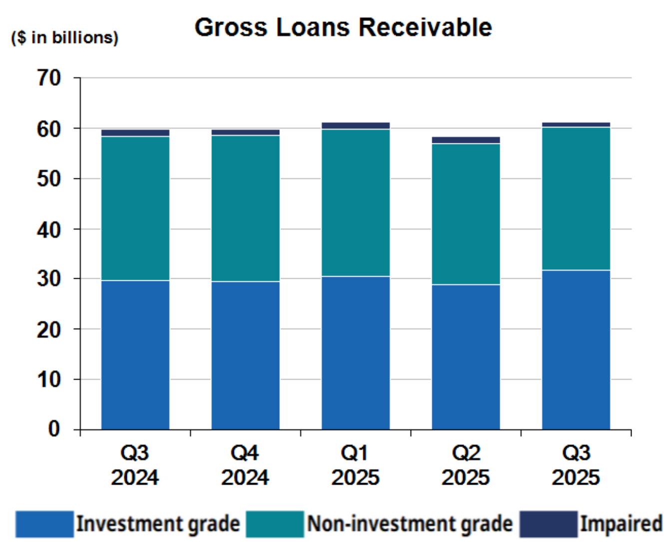
| *(in millions of Canadian dollars)* | **Performing** | **Impaired** | **Sep 2025 Total** | Performing | Impaired | Sep 2024 Total |
|---|---|---|---|---|---|---|
| Resources | **(81)** | **-** | **(81)** | (8) | 1 | (7) |
| Manufacturing | **4** | **36** | **40** | 64 | 34 | 98 |
| Utilities | **(32)** | **-** | **(32)** | 114 | 8 | 122 |
| Wholesale and retail trade | **(1)** | **12** | **11** | (25) | 7 | (18) |
| Information | **(9)** | **-** | **(9)** | (29) | - | (29) |
| Transportation and storage | **(2)** | **(5)** | **(7)** | (12) | (1) | (13) |
| Professional Services | **(6)** | **3** | **(3)** | 14 | - | 14 |
| Sovereign | **2** | **-** | **2** | (96) | 50 | (46) |
| Commercial properties | **1** | **-** | **1** | 7 | - | 7 |
| Other | **58** | **5** | **63** | 24 | 6 | 30 |
| Total | **$(66)** | **$51** | **$(15)** | $53 | $105 | $158 |

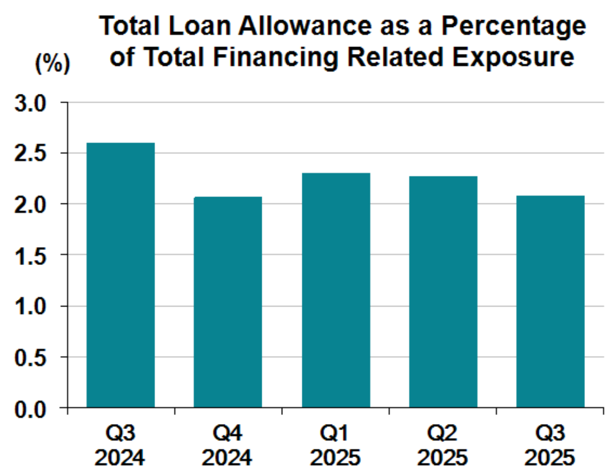
Activity within the provision for (reversal of) credit losses during the first nine months by industry was as follows:

| *(in millions of Canadian dollars)* | **Performing** | **Impaired** | **Sep 2025 Total** | Performing | Impaired | Sep 2024 Total |
|---|---|---|---|---|---|---|
| Manufacturing | **(22)** | **121** | **99** | 22 | 59 | 81 |
| Resources | **(38)** | **10** | **(28)** | 3 | 12 | 15 |
| Professional Services | **(26)** | **-** | **(26)** | (17) | 6 | (11) |
| Wholesale and retail trade | **7** | **17** | **24** | (8) | 30 | 22 |
| Construction | **(2)** | **13** | **11** | (6) | 12 | 6 |
| Transportation and storage | **(20)** | **31** | **11** | (30) | (6) | (36) |
| Sovereign | **(6)** | **(3)** | **(9)** | (137) | 50 | (87) |
| Commercial properties | **5** | **3** | **8** | 17 | (2) | 15 |
| Utilities | **3** | **-** | **3** | 46 | 573 | 619 |
| Other | **63** | **(6)** | **57** | (10) | (39) | (49) |
| Total | **$(36)** | **$186** | **$150** | $(120) | $695 | $575 |

## Financial Position

| *As at*<br>*(in millions of Canadian dollars)* | **Sep 2025** | Dec 2024 | Sep 2025 Corporate Plan |
|---|---|---|---|
| Total assets | **75,910** | 76,146 | 77,808 |
| Total liabilities | **64,193** | 64,623 | 67,257 |
| Equity | **11,717** | 11,523 | 10,551 |
| Gross loans receivable | **61,245** | 59,725 | 64,220 |
| Total allowances - loans portfolio | **1,650** | 1,660 | 2,262 |




**Gross loans receivable** for the first nine months of 2025 are lower than Plan mainly due to higher loan prepayments and lower net loan disbursements than anticipated. This also contributed to a decline in **total liabilities** as our borrowing requirements are largely determined by our loan asset portfolio.

**Loan allowance** as a percentage of total financing exposure was consistent with the end of 2024. The main components impacting the allowance during the first nine months of 2025 were as follows:

- net repayments and maturities – decrease of $391 million;
- loan write-offs – decrease of $145 million;
- impact of foreign exchange – decrease of $15 million;
- new originations – increase of $276 million;
- remeasurements due to credit migration – increase of $232 million; and
- updated macroeconomic assumptions – increase of $33 million.

# STATEMENT OF MANAGEMENT RESPONSIBILITY

Management is responsible for the preparation and fair presentation of these condensed consolidated quarterly financial statements in accordance with the Treasury Board of Canada's *Directive on Accounting Standards: GC 5200 Crown Corporations Quarterly Financial Reports,* and for such internal controls as management determines is necessary to enable the preparation of condensed consolidated quarterly financial statements that are free from material misstatement. Management is also responsible for ensuring all other information in this Quarterly Financial Report is consistent, where appropriate, with the condensed consolidated quarterly financial statements.

These condensed consolidated quarterly financial statements have not been audited or reviewed by an external auditor.

Based on our knowledge, these unaudited condensed consolidated quarterly financial statements present fairly, in all material respects, the financial position, results of operations and cash flows of the corporation, as at September 30, 2025 and for the periods presented in the condensed consolidated quarterly financial statements.

Alison Nankivell,
President and Chief Executive Officer

Scott Moore,
Executive Vice-President, Chief Financial Officer and Chief Operating Officer

Ottawa, Canada
November 26, 2025

## Export Development Canada

# Condensed Consolidated Statement of Financial Position

*as at*

| *(in millions of Canadian dollars)* | Notes | **Sep 2025** | Dec 2024 |
|---|---|---|---|
| **Assets** | | | |
| Cash and cash equivalents | | **1,739** | 4,430 |
| Marketable securities | | **7,344** | 6,841 |
| Derivative instruments | | **2,178** | 1,804 |
| Loans receivable | 3 | **61,402** | 59,850 |
| Allowance for losses on loans | 3 | **(1,280)** | (1,340) |
| Investments | | **3,441** | 3,537 |
| Right-of-use assets | | **101** | 110 |
| Retirement benefit assets | | **762** | 664 |
| Other assets | | **223** | 250 |
| **Total Assets** | | **$75,910** | $76,146 |
| **Liabilities and Equity** | | | |
| Accounts payable and other credits | | **206** | 340 |
| Loan guarantees | 3 | **367** | 333 |
| Loans payable | | **62,028** | 60,746 |
| Derivative instruments | | **1,036** | 2,612 |
| Lease liabilities | | **140** | 147 |
| Allowance for losses on loan commitments | 3 | **40** | 30 |
| Insurance contract liabilities | 4 | **197** | 239 |
| Retirement benefit liabilities | | **179** | 176 |
| **Total Liabilities** | | **64,193** | 64,623 |
| *Financing commitments (Note 3) and contingent liabilities (Note 9)* | | | |
| Share capital | 5 | **6,046** | 6,046 |
| Retained earnings | | **5,671** | 5,477 |
| **Total Equity** | | **11,717** | 11,523 |
| **Total Liabilities and Equity** | | **$75,910** | $76,146 |

*The accompanying notes are an integral part of these consolidated financial statements.*

These financial statements were approved for issuance by the Board of Directors on November 26, 2025.

Manjit Sharma
Director

Alison Nankivell
Director

## Export Development Canada

# Condensed Consolidated Statement of Comprehensive Income (Loss)

| | | For the three months ended | | For the nine months ended | |
|---|---|---|---|---|---|
| *(in millions of Canadian dollars)* | Notes | **Sep 2025** | Sep 2024 | **Sep 2025** | Sep 2024 |
| **Financing and Investment Revenue:** | | | | | |
| Loans | | **881** | 1,012 | **2,675** | 3,033 |
| Marketable securities and cash equivalents | | **96** | 81 | **263** | 301 |
| Investments | | **6** | 5 | **14** | 18 |
| Total financing and investment revenue | | **983** | 1,098 | **2,952** | 3,352 |
| Interest expense | | **677** | 817 | **2,036** | 2,426 |
| Financing-related expenses | | **28** | 24 | **101** | 39 |
| **Net Financing and Investment Income** | | **278** | 257 | **815** | 887 |
| **Net Loan Guarantee Income** | | **22** | 21 | **71** | 64 |
| Insurance revenue | 6 | **84** | 86 | **254** | 263 |
| Insurance service expenses | 6 | **(15)** | (26) | **(113)** | (120) |
| Reinsurance service expenses | | **(11)** | (20) | **(42)** | (49) |
| **Net Insurance Service Result** | | **58** | 40 | **99** | 94 |
| **Other (Income) Expenses** | 7 | **25** | 66 | **321** | (199) |
| **Administrative Expenses** | 8 | **144** | 131 | **429** | 407 |
| **Income before Credit Losses** | | **189** | 121 | **235** | 837 |
| **Provision for (Reversal of) Credit Losses** | 3 | **(15)** | 158 | **150** | 575 |
| **Net Income (Loss)** | | **204** | (37) | **85** | 262 |
| Other comprehensive income: | | | | | |
| Retirement benefit plans remeasurement | | **106** | 32 | **109** | 161 |
| **Comprehensive Income (Loss)** | | **$310** | ($5) | **$194** | $423 |

*The accompanying notes are an integral part of these consolidated financial statements.*

## Export Development Canada

# Condensed Consolidated Statement of Changes in Equity

| | | For the three months ended | | For the nine months ended | |
|---|---|---|---|---|---|
| | | **Sep** | Sep | **Sep** | Sep |
| *(in millions of Canadian dollars)* | Notes | **2025** | 2024 | **2025** | 2024 |
| **Share Capital** | | | | | |
| Balance beginning of period | | **6,046** | 6,046 | **6,046** | 8,490 |
| Shares repurchased | 5 | **-** | - | **-** | 2,444 |
| Balance end of period | | **6,046** | 6,046 | **6,046** | 6,046 |
| **Retained Earnings** | | | | | |
| Balance beginning of period | | **5,361** | 4,764 | **5,477** | 4,336 |
| Net income (loss) | | **204** | (37) | **85** | 262 |
| Other comprehensive income | | | | | |
| Retirement benefit plans remeasurement | | **106** | 32 | **109** | 161 |
| Balance end of period | | **5,671** | 4,759 | **5,671** | 4,759 |
| **Total Equity End of Period** | | **$11,717** | $10,805 | **$11,717** | $10,805 |

*The accompanying notes are an integral part of these consolidated financial statements.*

## Export Development Canada

# Condensed Consolidated Statement of Cash Flows

| *(in millions of Canadian dollars)* | For the three months ended Sep 2025 | Sep 2024 | For the nine months ended Sep 2025 | Sep 2024 |
|---|---|---|---|---|
| **Cash Flows from (used in) Operating Activities** | | | | |
| Net income (loss) | **204** | (37) | **85** | 262 |
| Adjustments to determine net cash flows from (used in) operating activities | | | | |
| Provision for (reversal of) credit losses | **(15)** | 158 | **150** | 575 |
| Depreciation and amortization | **7** | 7 | **19** | 20 |
| Net realized (gains) and losses | **65** | (79) | **9** | 6 |
| Changes in operating assets and liabilities | | | | |
| Change in accrued interest and fees on loans receivable | **(71)** | (20) | **(90)** | (44) |
| Change in accrued interest and fair value of marketable securities | **(30)** | (156) | **(162)** | (118) |
| Change in accrued interest and fair value of loans payable | **30** | 1,010 | **650** | 698 |
| Change in fair value of investments | **(40)** | 107 | **3** | (42) |
| Change in derivative instruments | **(314)** | (1,010) | **(941)** | (914) |
| Other | **56** | (2) | **(61)** | (19) |
| Loan disbursements | **(6,120)** | (4,454) | **(15,594)** | (12,182) |
| Loan repayments and principal recoveries from loan asset sales | **4,062** | 3,656 | **13,944** | 11,884 |
| Net cash from (used in) operating activities | **(2,166)** | (820) | **(1,988)** | 126 |
| **Cash Flows from (used in) Investing Activities** | | | | |
| Disbursements for investments | **(118)** | (233) | **(376)** | (640) |
| Receipts from investments | **79** | 108 | **379** | 302 |
| Purchases of marketable securities | **(1,432)** | (1,193) | **(4,954)** | (4,731) |
| Sales/maturities of marketable securities | **1,406** | 1,808 | **4,375** | 5,385 |
| Purchases of property, plant and equipment | **(1)** | (1) | **(2)** | (2) |
| Net cash from (used in) investing activities | **(66)** | 489 | **(578)** | 314 |
| **Cash Flows from (used in) Financing Activities** | | | | |
| Issue of long-term loans payable | **3,601** | 4,047 | **12,533** | 18,472 |
| Repayment of long-term loans payable | **(5,012)** | (1,074) | **(11,147)** | (10,066) |
| Issue of short-term loans payable | **8,768** | 5,356 | **15,777** | 16,636 |
| Repayment of short-term loans payable | **(6,603)** | (7,593) | **(16,941)** | (23,106) |
| Disbursements from sale/maturity of derivative instruments | **(97)** | (31) | **(435)** | (73) |
| Receipts from sale/maturity of derivative instruments | **91** | 30 | **176** | 85 |
| Repurchase of share capital | **-** | - | **-** | (2,444) |
| Net cash from (used in) financing activities | **748** | 735 | **(37)** | (496) |
| Effect of exchange rate changes on cash and cash equivalents | **39** | 5 | **(88)** | 34 |
| Net increase (decrease) in cash and cash equivalents | **(1,445)** | 409 | **(2,691)** | (22) |
| **Cash and cash equivalents** | | | | |
| Beginning of period | **3,184** | 1,519 | **4,430** | 1,950 |
| End of period | **$1,739** | $1,928 | **$1,739** | $1,928 |
| **Cash and cash equivalents are comprised of:** | | | | |
| Cash | **686** | 840 | **686** | 840 |
| Cash equivalents | **1,053** | 1,088 | **1,053** | 1,088 |
| | **$1,739** | $1,928 | **$1,739** | $1,928 |
| **Operating Cash Flows from Interest** | | | | |
| Cash paid for interest | **$854** | $983 | **$2,313** | $2,532 |
| Cash received for interest | **$785** | $910 | **$2,622** | $3,085 |

*The accompanying notes are an integral part of these consolidated financial statements.*

# Notes to the Condensed Consolidated Financial Statements

## 1. Material Accounting Policy Information

### Basis of Presentation

Our condensed consolidated financial statements comply with the *Directive on Accounting Standards: G5200 Crown Corporations Quarterly Financial Report* issued by the Treasury Board of Canada.

Except as indicated below, these condensed consolidated financial statements follow the same accounting policies and methods of computation as our audited consolidated financial statements for the year ended December 31, 2024. They should be read in conjunction with the audited consolidated financial statements for the year ended December 31, 2024 and the accompanying notes as set out on pages 122 to 172 of our 2024 Integrated Annual Report.

Pursuant to the Export Development Act, the Minister of International Trade, with the concurrence of the Minister of Finance, may authorize us to undertake certain financial and contingent liability transactions on behalf of the Government of Canada. These transactions and the legislative authorities that underlie them have come to be known collectively as “Canada Account.” Accounts for these transactions are maintained separately from our accounts and are consolidated annually as at March 31 with the financial statements of the Government of Canada, which are reported upon separately by the Government and audited by the Auditor General of Canada.

### Basis of Consolidation

Our consolidated financial statements include the assets, liabilities, results of operations and cash flows of our wholly owned subsidiaries and those structured entities consolidated under *IFRS 10 – Consolidated Financial Statements*. Intercompany transactions and balances have been eliminated.

### Application of New International Financial Reporting Standards

#### New standards, amendments and interpretations adopted during the quarter

There were no new standards, amendments or interpretations adopted in the third quarter of the year.

#### Standards, amendments and interpretations issued but not yet in effect

There were no new standards, amendments or interpretations issued in the third quarter of the year that would have a possible effect on the Consolidated Financial Statements in the future.

The standards, amendments and interpretations issued but not yet in effect are disclosed in Note 2 of our audited consolidated financial statements for the year ended December 31, 2024.

### Use of Estimates and Key Judgements

The preparation of financial statements requires the use of estimates and key judgements. Judgement is required in the selection of accounting policies, and their application requires the use of estimates and assumptions to arrive at the reported carrying values of our assets and liabilities. Other areas where management has made use of significant estimates and exercised judgement include allowance for credit losses, insurance contract liabilities, insurance service result, retirement benefit plans and financial instruments measured at fair value. Refer to page 124 of our 2024 Integrated Annual Report for additional details.

## 2. Fair Value of Financial Instruments

Fair value represents our estimation of the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. For a full description of our controls, policies and valuation techniques surrounding fair value of financial instruments refer to Note 3 on page 132 of the 2024 Integrated Annual Report.

As with any estimate, uncertainty is inherent due to the unpredictability of future events. In the case of estimating the fair value of our financial instruments, this uncertainty is magnified due to the large number of assumptions used and the wide range of acceptable valuation techniques. Estimates of fair values are based on market conditions at a certain point in time and may not be reflective of future market conditions. Therefore, the estimates of the fair value of financial instruments outlined do not necessarily reflect the actual values that may occur should the instruments be exchanged in the market.

In the process of assessing the fair value for certain investment instruments, estimates determined in a manner consistent with industry practice are employed in the models which cannot be directly observed in the market. The methodologies and values derived from these models were relatively unchanged at the end of the third quarter of 2025 from what was disclosed in the 2024 Integrated Annual Report.

### Fair Value Hierarchy

The following table presents the fair value hierarchy of our financial instruments based on whether the inputs to the valuation techniques are observable or unobservable.

- *Level 1* - fair values are based on quoted prices (unadjusted) in active markets for identical assets or liabilities;
- *Level 2* - fair values are determined using inputs other than quoted prices included within Level 1 that are observable for the assets or liabilities, either directly (i.e. as prices) or indirectly (i.e. derived from prices); and
- *Level 3* - fair values are determined using inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

| *(in millions of Canadian dollars)* | Level 1 | Level 2 | Level 3 | Total Fair Value | Sep 2025 Carrying Value | Level 1 | Level 2 | Level 3 | Total Fair Value | Dec 2024 Carrying Value |
|---|---|---|---|---|---|---|---|---|---|---|
| **Assets** | | | | | | | | | | |
| Performing fixed rate loans | - | 11,814 | 730 | 12,544 | 13,148 | - | 11,003 | 879 | 11,882 | 12,704 |
| Performing floating rate loans | - | 46,951 | 888 | 47,839 | 46,588 | - | 45,395 | 1,071 | 46,466 | 45,258 |
| Total performing loans receivable | - | 58,765 | 1,618 | 60,383 | 59,736 | - | 56,398 | 1,950 | 58,348 | 57,962 |
| Impaired loans | - | 386 | - | 386 | 386 | - | 548 | - | 548 | 548 |
| Loans receivable and accrued interest and fees | - | 59,151 | 1,618 | 60,769 | 60,122 | - | 56,946 | 1,950 | 58,896 | 58,510 |
| Marketable securities | 4,937 | 2,407 | - | 7,344 | 7,344 | 4,910 | 1,931 | - | 6,841 | 6,841 |
| Derivative instruments | - | 2,178 | - | 2,178 | 2,178 | - | 1,804 | - | 1,804 | 1,804 |
| Investments | - | - | 3,441 | 3,441 | 3,441 | - | - | 3,537 | 3,537 | 3,537 |
| **Liabilities** | | | | | | | | | | |
| Loans payable | - | 62,036 | - | 62,036 | 62,028 | - | 60,752 | - | 60,752 | 60,746 |
| Derivative instruments | - | 1,036 | - | 1,036 | 1,036 | - | 2,612 | - | 2,612 | 2,612 |
| Loan guarantees | - | 349 | - | 349 | 367 | - | 307 | - | 307 | 333 |

The financial instruments included in cash equivalents, other assets and accounts payable and other credits are short-term in nature and have a carrying amount that reasonably approximate the fair value.

Changes in valuation methods may result in transfers into or out of Levels 1, 2 and 3. There were no changes in valuation methods in the first nine months of 2025.

The following table is a year to date reconciliation of Level 3 fair values for investments carried at fair value:

| *(in millions of Canadian dollars)* | **2025** | 2024 |
|---|---|---|
| Balance beginning of year | **3,537** | 3,012 |
| Purchases of assets/issuances of liabilities | **466** | 660 |
| Return of capital | **(308)** | (201) |
| Net unrealized losses included in other (income) expenses | **(197)** | (81) |
| Foreign exchange translation | **(57)** | 30 |
| Balance end of period | **$3,441** | $3,420 |
| Total gains (losses) for the first nine months of the year included in comprehensive income for instruments held at the end of the quarter | **$(45)** | $10 |

## 3. Loans and Allowance for Credit Losses

### Loans Receivable

| *(in millions of Canadian dollars)* | **Sep 2025** | Dec 2024 |
|---|---|---|
| Gross loans receivable | **61,245** | 59,725 |
| Accrued interest and fees receivable | **517** | 433 |
| Deferred loan revenue and other | **(360)** | (308) |
| Total loans receivable | **$61,402** | $59,850 |

The following reflects the movement in gross loans receivable during the period:

| *(in millions of Canadian dollars)* | **2025** | 2024 |
|---|---|---|
| Balance January 1 | **59,725** | 58,961 |
| Disbursements | **15,594** | 12,182 |
| Principal repayments | **(13,442)** | (11,346) |
| Principal recoveries from loan asset sales | **(502)** | (538) |
| Loans written off | **(192)** | (782) |
| Capitalized interest | **31** | 23 |
| Foreign exchange translation | **31** | 1,340 |
| Balance September 30 | **$61,245** | $59,840 |

## Exposure and Allowance by Credit Grade

The table below presents exposure and allowance by credit grade within our gross loans receivable, loan commitments and loan guarantees portfolios based on the following stage assignments:

- Stage 1 – Where there has not been a significant increase in credit risk since origination;
- Stage 2 – Where there has been a significant increase in credit risk since origination; and
- Stage 3 – Where a financial instrument is considered impaired.

| *(in millions of Canadian dollars)* | | | | **Sep 2025** | | Dec 2024 | |
|---|---|---|---|---|---|---|---|
| | **Non-credit-impaired** | | **Credit-impaired** | | | | |
| | **Stage 1** | **Stage 2** | **Stage 3** | **$** | **% of total** | $ | % of total |
| **Gross loans receivable** | | | | | | | |
| Investment grade[1] | **28,530** | **3,161** | **-** | **31,691** | **52%** | 29,412 | 49% |
| Non-investment grade | **20,277** | **8,127** | **-** | **28,404** | **46%** | 28,962 | 49% |
| Individually impaired | **-** | **-** | **1,052** | **1,052** | **2%** | 1,109 | 2% |
| Originated credit-impaired | **-** | **-** | **98** | **98** | **-** | 242 | - |
| Total gross loans receivable | **48,807** | **11,288** | **1,150** | **61,245** | **100%** | 59,725 | 100% |
| Allowance for losses | **202** | **339** | **739** | **1,280** | | 1,340 | |
| Net carrying value - loans receivable | **$48,605** | **$10,949** | **$411** | **$59,965** | | $58,385 | |
| **Loan commitments** | | | | | | | |
| Investment grade[1] | **3,324** | **271** | **-** | **3,595** | **32%** | 7,698 | 55% |
| Non-investment grade | **6,316** | **1,236** | **-** | **7,552** | **68%** | 6,404 | 45% |
| Individually impaired | **-** | **-** | **26** | **26** | **-** | 29 | - |
| Total loan commitments | **9,640** | **1,507** | **26** | **11,173** | **100%** | 14,131 | 100% |
| Allowance for losses | **16** | **19** | **5** | **40** | | 30 | |
| Net carrying value - loan commitments | **$9,624** | **$1,488** | **$21** | **$11,133** | | $14,101 | |
| **Loan guarantees** | | | | | | | |
| Investment grade[1] | **185** | **4** | **-** | **189** | **3%** | 227 | 3% |
| Non-investment grade | **6,142** | **303** | **-** | **6,445** | **92%** | 6,085 | 92% |
| Individually impaired | **-** | **-** | **353** | **353** | **5%** | 320 | 5% |
| Total loan guarantees | **6,327** | **307** | **353** | **6,987** | **100%** | 6,632 | 100% |
| Allowance for losses | **103** | **10** | **217** | **330** | | 290 | |
| Net carrying value - loan guarantees | **$6,224** | **$297** | **$136** | **$6,657** | | $6,342 | |

[1] *Investment grade exposure represents obligors with credit ratings of BBB- and above, as determined based on our internal credit risk rating methodology. Exposures are presented before the effects of any risk-mitigation strategies.*

## Allowance for Losses

Changes to the allowance for losses on loans receivable, loan commitments and loan guarantees as at and for the three months ended September 30 were as follows:

| *(in millions of Canadian dollars)* | **Stage 1** | **Stage 2** | **Stage 3** | **2025 Total** | Stage 1 | Stage 2 | Stage 3 | 2024 Total |
|---|---|---|---|---|---|---|---|---|
| **Allowance for losses on loans receivable** | | | | | | | | |
| Balance beginning of period | 194 | 444 | 762 | 1,400 | 115 | 691 | 1,334 | 2,140 |
| Provision for (reversal of) credit losses | | | | | | | | |
| Transfer to stage 1 | 56 | (56) | - | - | 92 | (92) | - | - |
| Transfer to stage 2 | (8) | 13 | (5) | - | (30) | 30 | - | - |
| Transfer to stage 3 | - | - | - | - | - | (103) | 103 | - |
| Remeasurements | (62) | 1 | 33 | (28) | (53) | 137 | (24) | 60 |
| New originations | 28 | 6 | 38 | 72 | 22 | 15 | 16 | 53 |
| Net repayments and maturities | (10) | (77) | - | (87) | (7) | (17) | (10) | (34) |
| Total provision for (reversal of) credit losses | 4 | (113) | 66 | (43) | 24 | (30) | 85 | 79 |
| Write-offs | - | - | (100) | (100) | - | - | (649) | (649) |
| Foreign exchange translation | 4 | 8 | 11 | 23 | - | 6 | 14 | 20 |
| Balance end of period | 202 | 339 | 739 | 1,280 | 139 | 667 | 784 | 1,590 |
| **Allowance for losses on loan commitments** | | | | | | | | |
| Balance beginning of period | 23 | 17 | 10 | 50 | 14 | 59 | 7 | 80 |
| Provision for (reversal of) credit losses | | | | | | | | |
| Transfer to stage 1 | 1 | (1) | - | - | 2 | (2) | - | - |
| Transfer to stage 2 | (3) | 3 | - | - | (1) | 1 | - | - |
| Remeasurements | (3) | 6 | (3) | - | (2) | (2) | (3) | (7) |
| New originations | 2 | - | 1 | 3 | 10 | 3 | 1 | 14 |
| Net repayments and maturities | (4) | (6) | (3) | (13) | (4) | - | (3) | (7) |
| Total provision for (reversal of) credit losses | (7) | 2 | (5) | (10) | 5 | - | (5) | - |
| Balance end of period | 16 | 19 | 5 | 40 | 19 | 59 | 2 | 80 |
| **Allowance for losses on loan guarantees** | | | | | | | | |
| Balance beginning of period | 54 | 10 | 226 | 290 | 39 | 80 | 141 | 260 |
| Provision for (reversal of) credit losses | | | | | | | | |
| Transfer to stage 1 | 4 | (4) | - | - | 16 | (16) | - | - |
| Transfer to stage 2 | (1) | 1 | - | - | (17) | 19 | (2) | - |
| Transfer to stage 3 | - | (1) | 1 | - | (1) | (4) | 5 | - |
| Remeasurements | 37 | 4 | 13 | 54 | (10) | 26 | 30 | 46 |
| New originations | 6 | - | 14 | 20 | 33 | 18 | 12 | 63 |
| Net repayments and maturities | 3 | (1) | (38) | (36) | (3) | (7) | (20) | (30) |
| Total provision for (reversal of) credit losses | 49 | (1) | (10) | 38 | 18 | 36 | 25 | 79 |
| Foreign exchange translation | - | 1 | 1 | 2 | - | 2 | (1) | 1 |
| Balance end of period | 103 | 10 | 217 | 330 | 57 | 118 | 165 | 340 |
| **Total allowance for losses on loans receivable, loan commitments and loan guarantees** | $321 | $368 | $961 | $1,650 | $215 | $844 | $951 | $2,010 |

Changes to the allowance for losses on loans receivable, loan commitments and loan guarantees as at and for the nine months ended September 30 were as follows:

| *(in millions of Canadian dollars)* | Stage 1 | Stage 2 | Stage 3 | 2025 Total | Stage 1 | Stage 2 | Stage 3 | 2024 Total |
|---|---|---|---|---|---|---|---|---|
| **Allowance for losses on loans receivable** | | | | | | | | |
| Balance beginning of period | 144 | 473 | 723 | 1,340 | 141 | 766 | 813 | 1,720 |
| Provision for (reversal of) credit losses | | | | | | | | |
| Transfer to stage 1 | 164 | (164) | - | - | 206 | (206) | - | - |
| Transfer to stage 2 | (54) | 59 | (5) | - | (68) | 93 | (25) | - |
| Transfer to stage 3 | - | (13) | 13 | - | - | (119) | 119 | - |
| Remeasurements | (101) | 88 | 133 | 120 | (160) | 148 | 611 | 599 |
| New originations | 89 | 18 | 90 | 197 | 46 | 52 | 37 | 135 |
| Net repayments and maturities | (39) | (127) | (56) | (222) | (29) | (84) | (72) | (185) |
| Total provision for (reversal of) credit losses | 59 | (139) | 175 | 95 | (5) | (116) | 670 | 549 |
| Write-offs | - | - | (145) | (145) | - | - | (728) | (728) |
| Foreign exchange translation | (1) | 5 | (14) | (10) | 3 | 17 | 29 | 49 |
| Balance end of period | 202 | 339 | 739 | 1,280 | 139 | 667 | 784 | 1,590 |
| **Allowance for losses on loan commitments** | | | | | | | | |
| Balance beginning of period | 17 | 5 | 8 | 30 | 11 | 86 | 3 | 100 |
| Provision for (reversal of) credit losses | | | | | | | | |
| Transfer to stage 1 | 3 | (3) | - | - | 3 | (3) | - | - |
| Transfer to stage 2 | (7) | 7 | - | - | (3) | 3 | - | - |
| Remeasurements | (2) | 19 | 1 | 18 | (8) | (26) | (2) | (36) |
| New originations | 17 | - | 7 | 24 | 26 | 5 | 8 | 39 |
| Net repayments and maturities | (11) | (9) | (11) | (31) | (10) | (8) | (7) | (25) |
| Total provision for (reversal of) credit losses | - | 14 | (3) | 11 | 8 | (29) | (1) | (22) |
| Foreign exchange translation | (1) | - | - | (1) | - | 2 | - | 2 |
| Balance end of period | 16 | 19 | 5 | 40 | 19 | 59 | 2 | 80 |
| **Allowance for losses on loan guarantees** | | | | | | | | |
| Balance beginning of period | 49 | 36 | 205 | 290 | 54 | 97 | 139 | 290 |
| Provision for (reversal of) credit losses | | | | | | | | |
| Transfer to stage 1 | 14 | (12) | (2) | - | 42 | (42) | - | - |
| Transfer to stage 2 | (7) | 8 | (1) | - | (44) | 46 | (2) | - |
| Transfer to stage 3 | (1) | (16) | 17 | - | (1) | (20) | 21 | - |
| Remeasurements | 28 | - | 99 | 127 | (40) | 34 | 51 | 45 |
| New originations | 27 | - | 28 | 55 | 54 | 18 | 22 | 94 |
| Net repayments and maturities | (5) | (6) | (127) | (138) | (8) | (17) | (66) | (91) |
| Total provision for (reversal of) credit losses | 56 | (26) | 14 | 44 | 3 | 19 | 26 | 48 |
| Foreign exchange translation | (2) | - | (2) | (4) | - | 2 | - | 2 |
| Balance end of period | 103 | 10 | 217 | 330 | 57 | 118 | 165 | 340 |
| **Total allowance for losses on loans receivable, loan commitments and loan guarantees** | $321 | $368 | $961 | $1,650 | $215 | $844 | $951 | $2,010 |

## Financing Commitments

The following table shows our outstanding financing commitments by type:

| *(in millions of Canadian dollars)* | **Sep 2025** | Dec 2024 |
|---|---|---|
| Signed loan commitments | **11,173** | 14,131 |
| Letters of offer | **2,496** | 2,405 |
| Unallocated unconfirmed lines of credit | **168** | 196 |
| Total financing commitments | **$13,837** | $16,732 |

# 4. Insurance Contract Liabilities

The following table provides a breakdown of our insurance contract liabilities by portfolio:

| *(in millions of Canadian dollars)* | | | | **Sep 2025** | | | | Dec 2024 [1] |
|---|---|---|---|---|---|---|---|---|
| | **Liabilities for remaining coverage** | | | | Liabilities for remaining coverage | | | |
| | **Excluding loss component** | **Loss component** | **Liabilities for incurred claims** | **Insurance contract liabilities** | Excluding loss component | Loss component | Liabilities for incurred claims | Insurance contract liabilities |
| Certain comparative guarantees | **95** | **6** | **(5)** | **96** | 106 | 16 | (13) | 109 |
| Other insurance[2] | **(2)** | **30** | **73** | **101** | (8) | 34 | 104 | 130 |
| Total | **$93** | **$36** | **$68** | **$197** | $98 | $50 | $91 | $239 |

[1] *Comparative figures have been reclassified to conform with current year presentation.*

[2] *Includes the credit insurance, financial institutions insurance and political risk insurance portfolios.*

Changes to the insurance contract liabilities as at and for the three months ended September 30 were as follows:

| *(in millions of Canadian dollars)* | | | | | 2025 |
|---|---|---|---|---|---|
| | Liabilities for remaining coverage | | Liabilities for incurred claims | | |
| | Excluding loss component | Loss component | Estimates of present value of future cash flows | Risk adjustment | Total |
| Balance beginning of period | 100 | 39 | 50 | 11 | 200 |
| Insurance revenue | (84) | - | - | - | (84) |
| Insurance service expenses[1] | 3 | (4) | 12 | (2) | 9 |
| Insurance service result | (81) | (4) | 12 | (2) | (75) |
| Insurance finance expenses | (3) | 1 | 2 | 1 | 1 |
| Total changes in net income | (84) | (3) | 14 | (1) | (74) |
| Premiums received | 79 | - | - | - | 79 |
| Claims and other insurance service expenses paid | - | - | (6) | - | (6) |
| Acquisition cash flows | (2) | - | - | - | (2) |
| Total cash flows | 77 | - | (6) | - | 71 |
| Balance end of period | $93 | $36 | $58 | $10 | $197 |

*[1] Insurance acquisition cash flows related to credit insurance were $6 million for the three months ended September 30, 2025 (2024 - $6 million) and expensed as incurred.*

| *(in millions of Canadian dollars)* | | | | | 2024 |
|---|---|---|---|---|---|
| | Liabilities for remaining coverage | | Liabilities for incurred claims | | |
| | Excluding loss component | Loss component | Estimates of present value of future cash flows [2] | Risk adjustment | Total |
| Balance beginning of period | 91 | 54 | 138 | 17 | 300 |
| Insurance revenue | (86) | - | - | - | (86) |
| Insurance service expenses | 5 | (10) | 31 | (6) | 20 |
| Insurance service result | (81) | (10) | 31 | (6) | (66) |
| Insurance finance expenses | 2 | 1 | (1) | - | 2 |
| Total changes in net income | (79) | (9) | 30 | (6) | (64) |
| Premiums received | 77 | - | - | - | 77 |
| Claims and other insurance service expenses paid | - | - | (116) | - | (116) |
| Acquisition cash flows | (3) | - | - | - | (3) |
| Total cash flows | 74 | - | (116) | - | (42) |
| Balance end of period | $86 | $45 | $52 | $11 | $194 |

*[2] Comparative figures have been reclassified to conform with current year presentation.*

Changes to the insurance contract liabilities as at and for the nine months ended September 30 were as follows:

*(in millions of Canadian dollars)* **2025**

| | Liabilities for remaining coverage | | Liabilities for incurred claims | | |
|---|---|---|---|---|---|
| | **Excluding loss component** | **Loss component** | **Estimates of present value of future cash flows** | **Risk adjustment** | **Total** |
| Balance beginning of period | **98** | **50** | **76** | **15** | **239** |
| Insurance revenue | **(254)** | **-** | **-** | **-** | **(254)** |
| Insurance service expenses[1] | **10** | **(13)** | **104** | **(6)** | **95** |
| Insurance service result | **(244)** | **(13)** | **104** | **(6)** | **(159)** |
| Insurance finance expenses | **5** | **(1)** | **(2)** | **1** | **3** |
| Total changes in net income | **(239)** | **(14)** | **102** | **(5)** | **(156)** |
| Premiums received | **242** | **-** | **-** | **-** | **242** |
| Claims and other insurance service expenses paid | **-** | **-** | **(120)** | **-** | **(120)** |
| Acquisition cash flows | **(8)** | **-** | **-** | **-** | **(8)** |
| Total cash flows | **234** | **-** | **(120)** | **-** | **114** |
| Balance end of period | **$93** | **$36** | **$58** | **$10** | **$197** |

[1] *Insurance acquisition cash flows related to credit insurance were $18 million for the nine months ended September 30, 2025 (2024 - $21 million) and expensed as incurred.*

*(in millions of Canadian dollars)* 2024

| | Liabilities for remaining coverage | | Liabilities for incurred claims | | |
|---|---|---|---|---|---|
| | Excluding loss component | Loss component | Estimates of present value of future cash flows [2] | Risk adjustment | Total |
| Balance beginning of period | 106 | 71 | 128 | 13 | 318 |
| Insurance revenue | (263) | - | - | - | (263) |
| Insurance service expenses | 13 | (31) | 120 | (3) | 99 |
| Insurance service result | (250) | (31) | 120 | (3) | (164) |
| Insurance finance expenses | 1 | 5 | 4 | 1 | 11 |
| Total changes in net income | (249) | (26) | 124 | (2) | (153) |
| Premiums received | 240 | - | - | - | 240 |
| Claims and other insurance service expenses paid | - | - | (200) | - | (200) |
| Acquisition cash flows | (11) | - | - | - | (11) |
| Total cash flows | 229 | - | (200) | - | 29 |
| Balance end of period | $86 | $45 | $52 | $11 | $194 |

[2] *Comparative figures have been reclassified to conform with current year presentation.*

## 5. Share Capital

EDC's authorized share capital is $15.0 billion consisting of 150 million shares with a par value of $100 each. As agreed to with our shareholder, for 2022 onwards, dividends and/or special dividends will be paid by way of a share buyback until such time that our share capital returns to pre-pandemic levels. In the first three quarters of 2025, we did not repurchase any shares. In the first three quarters of 2024, we repurchased 24.44 million shares at a price of $100 per share for a total of $2.44 billion based on the capital position of our core programs, the Business Credit Availability Program (BCAP) and a targeted Internal Capital Adequacy Assessment Process (ICAAP) ratio. The number of shares issued and fully paid at the end of the quarter is 60.46 million (2024 – 60.46 million).

## 6. Insurance Service Result

Insurance revenue and insurance service expenses broken down by portfolio were as follows:

| *(in millions of Canadian dollars)* | Three months ended | | | | | |
|---|---|---|---|---|---|---|
| | | | **Sep 2025** | | | Sep 2024[3] |
| | **International trade guarantees** | **Other insurance[2]** | **Total** | International trade guarantees | Other insurance[2] | Total |
| Insurance revenue | **48** | **36** | **84** | 48 | 38 | 86 |
| Insurance service expenses: | | | | | | |
| Incurred claims and other expenses | **(12)** | **(38)** | **(50)** | (20) | (37) | (57) |
| Reversal of losses on onerous contracts | **1** | **3** | **4** | 2 | 8 | 10 |
| Acquisition expenses[1] | **(3)** | **(6)** | **(9)** | (4) | (7) | (11) |
| Changes to liabilities for incurred claims | **-** | **40** | **40** | 5 | 27 | 32 |
| Insurance service result | **$34** | **$35** | **$69** | $31 | $29 | $60 |

[1] *Acquisition expenses include $6 million of acquisition cash flows related to credit insurance for the three months ended September 30, 2025 (2024 - $6 million) that were expensed as incurred.*

| *(in millions of Canadian dollars)* | Nine months ended | | | | | |
|---|---|---|---|---|---|---|
| | | | **Sep 2025** | | | Sep 2024[3] |
| | **International trade guarantees** | **Other insurance[2]** | **Total** | International trade guarantees | Other insurance[2] | Total |
| Insurance revenue | **148** | **106** | **254** | 145 | 118 | 263 |
| Insurance service expenses: | | | | | | |
| Incurred claims and other expenses | **(62)** | **(114)** | **(176)** | (62) | (107) | (169) |
| Reversal of losses on onerous contracts | **10** | **3** | **13** | 2 | 29 | 31 |
| Acquisition expenses[4] | **(10)** | **(18)** | **(28)** | (12) | (22) | (34) |
| Changes to liabilities for incurred claims | **10** | **68** | **78** | 1 | 51 | 52 |
| Insurance service result | **$96** | **$45** | **$141** | $74 | $69 | $143 |

[2] *Includes the credit insurance, financial institutions insurance and political risk insurance portfolios.*

[3] *Comparative figures have been reclassified to conform with current year presentation.*

[4] *Acquisition expenses include $18 million of acquisition cash flows related to credit insurance for the nine months ended September 30, 2025 (2024 - $21 million) that were expensed as incurred.*

# 7. Other (Income) Expenses

| | Three months ended | | Nine months ended | |
|---|---|---|---|---|
| *(in millions of Canadian dollars)* | **Sep 2025** | Sep 2024 | **Sep 2025** | Sep 2024 |
| Net realized (gains) losses | | | | |
| Derivatives | **(12)** | (25) | **(57)** | (36) |
| Investments | **69** | (57) | **39** | 20 |
| Marketable securities[1] | **6** | 3 | **17** | 19 |
| Sale of loan assets | **2** | - | **10** | 3 |
| Other | **(1)** | - | **(2)** | - |
| Total net realized (gains) losses | **64** | (79) | **7** | 6 |
| Net unrealized (gains) losses | | | | |
| Loans payable | **16** | 1,064 | **793** | 793 |
| Derivatives | **15** | (881) | **(335)** | (822) |
| Marketable securities[1] | **(26)** | (164) | **(144)** | (129) |
| Investments | **(39)** | 107 | **3** | (42) |
| Fair value adjustments on loan disbursements | **-** | - | **-** | (3) |
| Total net unrealized (gains) losses | **(34)** | 126 | **317** | (203) |
| Foreign exchange translation | **(5)** | 19 | **(3)** | (2) |
| Total | **$25** | $66 | **$321** | $(199) |

[1] *Includes gains and losses related to cash equivalents*

# 8. Administrative Expenses

| | Three months ended | | Nine months ended | |
|---|---|---|---|---|
| *(in millions of Canadian dollars)* | **Sep 2025** | Sep 2024 | **Sep 2025** | Sep 2024 |
| Salaries and benefits | **101** | 92 | **306** | 292 |
| Pension benefit expense | **2** | 4 | **7** | 13 |
| Other post-employment benefit and severance expense | **3** | 3 | **10** | 10 |
| Systems costs | **16** | 17 | **54** | 46 |
| Professional services | **18** | 15 | **47** | 42 |
| Information services | **7** | 6 | **21** | 19 |
| Occupancy | **7** | 7 | **21** | 21 |
| Marketing and communications | **5** | 4 | **12** | 11 |
| Amortization and depreciation | **4** | 4 | **11** | 12 |
| Travel, hospitality and conferences | **1** | 2 | **6** | 6 |
| Other | **5** | 1 | **11** | 9 |
| Total administrative expenses | **$169** | $155 | **$506** | $481 |
| Amounts attributed to insurance contracts | **(25)** | (24) | **(77)** | (74) |
| Total | **$144** | $131 | **$429** | $407 |

Amounts attributed to insurance contracts are included in insurance service results under Note 6 and are therefore excluded from the total administrative expenses. Includes $53 million of salaries and benefits (2024 – $51 million), and $8 million of system costs (2024 – $8 million).

## 9. Contingent Liabilities

As explained on page 123 of the 2024 Integrated Annual Report, we are subject to a limit imposed by the Export Development Act on our contingent liability arrangements. The limit is currently $90.0 billion and our position against this limit is $44.0 billion as at September 30, 2025 (December 2024 - $45.9 billion).

## 10. Financial Instrument Risks

The principal risks that we are exposed to as a result of holding financial instruments are credit, market and liquidity risk. For a full description of our objectives, policies and processes for managing financial instrument risk refer to management's discussion and analysis on pages 98 to 103 and notes related to our derivative instruments and debt instruments on pages 92 to 93 of the 2024 Integrated Annual Report.

### Credit Risk

Credit risk is the risk of loss incurred if a counterparty fails to meet its financial commitments. We are exposed to credit risk on financial instruments under both our loans program and our treasury activities.

*Concentration of Credit Risk*

The following table provides a breakdown, by the country in which the risk resides, of the maximum exposure to credit risk of financial instruments. The exposure includes gross loans receivable, loan guarantees, marketable securities, derivative assets, cash and cash equivalents. The concentration of credit risk exposure provided below also includes the impact of unfunded loan participations and loan default insurance, which we use to mitigate credit risk within the loan portfolio.

| *(in millions of Canadian dollars)* | **Sep 2025 Exposure** | | Dec 2024 Exposure | |
|---|---|---|---|---|
| **Country** | **$** | **%** | $ | % |
| United States | **18,850** | **24** | 17,486 | 22 |
| Canada | **15,245** | **19** | 14,959 | 19 |
| Chile | **7,885** | **10** | 8,670 | 11 |
| United Kingdom | **7,243** | **9** | 6,883 | 9 |
| Australia | **4,849** | **6** | 5,337 | 7 |
| Germany | **2,964** | **4** | 2,482 | 3 |
| India | **2,799** | **3** | 2,718 | 3 |
| Mexico | **2,230** | **3** | 2,024 | 2 |
| Brazil | **2,065** | **2** | 2,394 | 3 |
| France | **1,477** | **2** | 914 | 1 |
| Other | **13,886** | **18** | 15,565 | 20 |
| Total | **$79,493** | **100** | $79,432 | 100 |

The concentration of credit risk by industry for our financial instruments is as follows:

| *(in millions of Canadian dollars)* | **Sep 2025 Exposure** | | Dec 2024 Exposure | |
|---|---|---|---|---|
| **Industry** | **$** | **%** | $ | % |
| Commercial: | | | | |
| Utilities | **11,912** | **15** | 11,628 | 15 |
| Transportation and storage | **11,842** | **15** | 13,090 | 17 |
| Finance and insurance | **11,476** | **14** | 10,643 | 13 |
| Manufacturing | **10,918** | **14** | 11,010 | 14 |
| Information | **8,039** | **10** | 6,589 | 8 |
| Resources | **7,702** | **10** | 8,126 | 10 |
| Wholesale and retail trade | **2,817** | **4** | 2,928 | 4 |
| Commercial properties | **1,817** | **2** | 2,194 | 3 |
| Professional services | **1,013** | **1** | 1,123 | 1 |
| Construction | **826** | **1** | 562 | 1 |
| Other | **3,103** | **4** | 2,670 | 3 |
| Total commercial | **71,465** | **90** | 70,563 | 89 |
| Sovereign | **8,028** | **10** | 8,869 | 11 |
| Total | **$79,493** | **100** | $79,432 | 100 |

## 11. Related Party Transactions

We enter into transactions with other government departments, agencies and Crown corporations and our Pension Plan in the normal course of business, under terms and conditions similar to those that apply to unrelated parties.

In 2021, EDC's subsidiary FinDev Canada received a $75.9 million Concessional Facility (CF) from Global Affairs Canada (GAC). The CF is an arrangement between GAC and FinDev Canada for the purpose of fulfilling the Government of Canada's Gender Smart COVID-19 Recovery Facility. FinDev Canada will hold, manage, administer, use and invest the funds under the facility, with related financial results reported to GAC and consolidated within the financial statements of the Government of Canada.

In 2025, FinDev Canada received $255 million under a second Concessional Facility from the Government of Canada. The CF will eventually result in FinDev Canada receiving a total of $720 million, of which $700 million will be used towards investments and $20 million for technical assistance. As with the previous facility, FinDev Canada will hold, manage, administer, use and invest the funds, with related financial results reported to the Government of Canada and consolidated within its financial statements.

## 12. Subsequent Event

In November 2025, the Government of Canada released Budget 2025, outlining measures to be implemented by EDC in support of Canada's export and trade development priorities. We expect that these initiatives will have an impact on several of our consolidated financial statement line items and financial results in future years. The timing and size of those impacts is not possible to forecast at this time.